

FIGURE 3-1

Year	Price/earnings ratio	Total return over next 10 years
1898	21.4	9.2
1900	20.7	7.1
1901	21.7	5.9
1905	19.6	5.0
1929	22.0	-0.1
1936	21.1	4.4
1955	18.9	11.1
1959	18.6	7.8
1961	22.0	7.1
1962	18.6	9.9
1963	21.0	6.0
1964	22.8	1.2
1965	23.7	3.3
1966	19.7	6.6
1967	21.8	3.6
1968	22.3	3.2
1972	18.6	6.7
1992	20.4	9.3
Averages	20.8	6.0

Sources: http://aida.econ.yale.edu/~shiller/data/ie_data.htm; Jack Wilson and Charles Jones, “An Analysis of the S & P 500 Index and Cowles’ Extensions: Price Index and Stock Returns, 1870–1999,” *The Journal of Business*, vol. 75, no. 3, July, 2002, pp. 527–529; Ibbotson Associates.

Notes: Price/earnings ratio is Shiller calculation (10-year average real earnings of S & P 500-stock index divided by December 31 index value). Total return is nominal annual average.

So, from valuation levels similar to those of early 2003, the stock market has sometimes done very well in the ensuing 10 years, sometimes poorly, and muddled along the rest of the time. I think Graham, ever the conservative, would split the difference between the lowest and highest past returns and project that over the next decade stocks will earn roughly 6% annually, or 4% after inflation. (Interestingly, that projection matches the estimate we got earlier when we added together real growth, inflationary growth, and speculative growth.) Compared to the 1990s, 6% is chicken feed. But it’s a whisker better than the gains that bonds are likely to produce—and reason enough for most investors to hang on to stocks as part of a diversified portfolio.